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Barrick Mining Corporation (B) — Valuation, Forecast & Positioning

Senior gold miner with a real copper option, priced for a gold price that has already fallen — a cyclical valuation problem, not a cheapness problem

Ticker B Sector Materials As of 2026-07-16 · \$34.84 ROIC 29.7% vs WACC ~10%

Content hash 777e695b94cdb56f Status Reviewed draft · sign-off pending

Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). Valuation is mechanical peer arithmetic; forecasts are scenario anchors with wide, partly unquantified uncertainty. Data via yfinance; historical multiples reconstructed from annual statements. Forecast on a near-random-walk series (ADF $p \approx 0.381$); Monte Carlo embeds recovery-period drift. Qualitative sections reflect analyst knowledge and must be re-verified.

EXECUTIVE BRIEF

Barrick (NYSE: B, renamed from Barrick Gold; the old GOLD ticker now belongs to an unrelated company) trades at \$34.84, down 33.4% from its 28-Jan-2026 high of \$52.32, because gold has fallen ~25% from its January record to ~\$3,995/oz. The stock screens cheap — $5.57\times$ EV/EBITDA and $7.71\times$ forward P/E — but that is the classic cyclical trap: a low multiple on earnings struck at a high metal price. Triangulating the pipeline's own outputs, the attributable-EBITDA sum-of-parts says \$33, the sensitivity base says \$35, the ADL 26-week path says \$33.57 and the driftless option-implied median says \$31, against spot of \$34.84; only the consolidated-EBITDA lens blend (\$42–43) and the drift-contaminated bootstrap Monte Carlo (\$45 median) argue for upside. The honest read is that B is roughly fairly priced for gold at spot, and the bull case is a gold call, not a valuation call. ROIC of 29.7% against a 9.5% WACC is a wide

+20.2pt spread but it is gold-price-dependent and only mid-pack among peers at a cycle peak (AU 44.6%, GFI 38.4%, KGC 33.5% all higher), so the Mauboussin framing warrants no premium. Two structural discounts are visible in the data: B carries \$769 of EV per reserve ounce against a peer median of \$1,189 — the jurisdictional discount for Mali, the DRC, Zambia and Pakistan — and its 22.8% FCF margin is the lowest of any gold senior in the peer set. Offsetting these: the Mali dispute is settled (Nov-2025, ~\$430M, control regained 16-Dec-2025), the balance sheet holds net cash, and the ~\$42B NewCo IPO is a live re-rating catalyst — though Newmont's 3-Feb-2026 notice of default on the Nevada JV can block it.

- **The gold cycle already turned, and the stock has taken the hit.** Gold peaked at a record \$5,589/oz on 28-Jan-2026 and COMEX futures have since fallen ~24.9% to ~\$3,995/oz; Barrick fell 33.4% from \$52.32 to \$34.84 over the same window, and GDX fell 38.4%. That gearing — the stock falling roughly 1.3× the metal — is the miner's operating leverage running in reverse, and it is the single most important fact in this report. Copper, meanwhile, is only 6.0% off its high and up 10.9% year-to-date: the two legs of the business have decoupled.
- **Cheap-looking multiples are a cyclical artifact, not a discount.** B trades at 5.57× EV/EBITDA (vs. a broad peer median of 6.66×, -16.4%) and 7.71× forward P/E (-14.1% vs. the broad peer median). But against the *right* comparator — the senior-gold lens — the gap nearly closes: 5.57× vs. 6.04× EV/EBITDA (-7.7%) and 7.71× vs. 7.63× forward P/E (a 1.1% *premium*). Barrick is not cheap versus the companies it actually competes with.
- **Spot gold now sits ~11% below the price Barrick's own 2026 guidance assumes.** The company's 2026 cost guidance (AISC \$1,760–1,950/oz) is built on a \$4,500/oz gold assumption; spot is ~\$3,995. The gold × AISC grid in §3e shows the consequence: at \$4,000/oz and mid-guidance AISC, attributable EBITDA is \$8.63B and FCF \$4.10B; at \$3,500/oz with cost inflation to \$2,150/oz, EBITDA falls to \$6.19B and buyback capacity to \$1.77B. Every row is an analyst scenario, not guidance.
- **ROIC beats WACC by a wide margin — but it is a gold-price reading, not a skill reading.** ROIC of 29.7% against an assumed 9.5% WACC is a +20.2pt spread. Two caveats dominate: it was earned on FY2025 NOPAT at a \$3,501/oz realized gold price against an asset base built at far lower prices, and it is only *mid-pack* — AngloGold (44.6%), Gold Fields (38.4%), Southern Copper (35.4%) and Kinross

(33.5%) all earn more at the same point in the same cycle. Per Mauboussin, a warranted multiple reflects the ROIC-minus-WACC spread *and* growth; for a depleting-asset business whose 2026 production guidance midpoint (3.075Moz) sits *below* FY2025 actual (3.255Moz), the growth term is the problem. The market's 7.7× forward P/E implies –6.1% durable growth: it is explicitly pricing decline.

- **The jurisdictional discount is measurable: \$769 of EV per reserve ounce vs. a \$1,189 peer median.** Barrick's 85Moz reserve base is the second-largest in the peer set, yet only Newmont (\$794/oz) is valued as thinly per ounce; Kinross (\$1,247), Gold Fields (\$1,223) and Agnico (\$1,189) all command a 45–60% premium per ounce. Low grade (0.98 g/t) and asset location — Mali, the DRC, Zambia, Pakistan, Argentina — are what that gap prices. Reserve life is a long 27.6 years at guided production.
- **Balance sheet is a genuine strength; cash conversion is a genuine weakness.** Barrick holds net cash (financial net debt –\$1.54B; \$2.405B net cash at Q1-2026), a 2.92 current ratio against a 2.32 peer median, and 25.6× interest coverage. But its 22.8% FCF margin is the *lowest of every gold senior in the peer set* (AEM 35.8%, KGC 36.4%, AU 33.7%, NEM 32.2%, GFI 27.1%), and FCF conversion of 77% trails the 87.5% peer median — the price of Lumwana, Reko Diq and the Mali outage.
- **Two live corporate events sit outside every model in this report.** Mali is *resolved* — settled Nov-2025 for ~\$430M plus a 10-year permit extension, control regained 16-Dec-2025, and the restart ran ahead of plan in Q1-2026. In its place sit the ~\$42B NewCo IPO of the North American assets (NGM 61.5%, Pueblo Viejo 60%, Fourmile), targeted for end-2026, and Newmont's 3-Feb-2026 notice of default on the Nevada JV, which alleges Barrick diverted NGM resources to the wholly-owned Fourmile and which Newmont can use to contest the spin. The IPO is the clearest re-rating catalyst; the default notice is the clearest obstacle to it.

Confidence: Medium. The valuation arithmetic, peer set and reserve data are well-sourced (Barrick's FY2025 and Q1-2026 releases; each peer's own year-end 2025 reserve statement). Three things cap confidence. First, the equity is a levered derivative of a commodity price that no model here forecasts — the ADL, ETS, ARIMA and Monte Carlo all condition on gold paths rather than predict them. Second, the engine values a miner on EV/EBITDA and ROIC, but the multiple senior-gold investors actually anchor on is P/NAV, which this pipeline cannot compute and which is therefore absent (see §3f). Third, the NewCo IPO and the Newmont default notice are unresolved binary events whose outcomes are not in any number here. Competitive and legal facts were verified as of 16-Jul-2026 and are perishable.

WORKING PAPER

1 · Sector & industry trends

Gold equities are a levered claim on the gold price, and gold in 2026 has been the story in both directions. The metal set an all-time record of \$5,589/oz on 28-Jan-2026 after a 2025 in which central-bank buying, real-rate expectations and geopolitical diversification demand drove an exceptional rally — then gave back roughly a quarter of it, with COMEX futures back below \$4,000/oz by late June and quoted at ~\$3,995 on 16-Jul-2026. Sell-side year-end 2026 forecasts remain scattered across an enormous range (Morgan Stanley ~\$4,400/oz, Goldman Sachs ~\$5,400/oz, J.P. Morgan pushing \$6,000/oz), which is itself the honest summary: nobody knows, and the dispersion of professional forecasts exceeds the entire equity value of the sector's cost base. Central-bank demand, the marginal buyer that underwrote the 2025 move, decelerated sharply — net reported purchases were only ~16 tonnes in Q1-2026 against a Goldman expectation of ~60 tonnes/month. The second-order sector driver is cost inflation: the industry is guiding AISC materially higher (Barrick's own 2026 guidance is \$1,760–1,950/oz against \$1,637/oz delivered in FY2025, up 8–19%), so margin compresses from both ends when the metal falls. Copper is running a different cycle entirely — near its highs, +10.9% YTD — on electrification and supply scarcity, which is precisely why copper miners in this peer set trade at 10.51× EV/EBITDA against the gold seniors' 6.04×. The measurable sector fact in this report's own data is the ADF p-value of 0.651 on Barrick's weekly price: the series is statistically indistinguishable from a random walk, which is what a levered commodity claim should look like. *The table below summarizes these forces; the prose above explains the two that dominate: the metal and the cost line.*

Trend	Direction	Read for B
The gold price itself — record \$5,589/oz (28-Jan-2026), now ~\$3,995	▼ Headwind	The dominant driver, and it has turned: COMEX futures –24.9% from the peak took B –33.4%. Spot now sits ~11% BELOW the \$4,500/oz assumption in Barrick's own 2026 cost guidance.
Central-bank gold buying decelerating	▼ Headwind	The marginal buyer that underwrote the 2025 rally: only ~16t of net reported purchases in Q1-2026 vs. a Goldman expectation of ~60t/month.
Extreme dispersion in professional gold forecasts	◆ Neutral	Year-end 2026 targets run from ~\$4,400 (Morgan Stanley) to ~\$5,400 (Goldman) to ~\$6,000 (J.P. Morgan). The honest read is that nobody knows — hence scenarios, not a point forecast, in \$3e.
Industry-wide AISC inflation	▼ Headwind	Barrick guides 2026 AISC to \$1,760–1,950/oz vs. \$1,637/oz delivered in FY2025 (+8–19%). Margin compresses from both ends when the metal falls.
Margin, not volume — senior production is flat-to-declining	▼ Headwind	Barrick's 2026 guidance midpoint (3.075Moz) sits below FY2025 actual (3.255Moz). Earnings are a pure price-minus-cost story; the AISC margin at spot is \$2,140/oz (53.6%).
The reserve-replacement treadmill	▼ Headwind	Depleting-asset businesses: absent discovery, long-run volume growth is negative. Barrick holds 85Moz (27.6-year life) vs. NEM 118.2, AEM 55.4, GFI 48.3, AU 36.5, KGC

	Headwind	20.9Moz. This is why the market implies -6.1% durable growth.
Copper on a separate cycle from gold	Tailwind	Copper is only 6.0% off its high and +10.9% YTD while gold sits 25% below its peak. Copper miners earn 10.51× EV/EBITDA vs. gold seniors' 6.04× — a ~1.7× gap that is the strategic logic for Barrick's copper build-out.
Resource nationalism across the sector's jurisdictions	Headwind	Mali cost Barrick ~\$430M, acceptance of the 2023 mining code and four detained employees. The \$769/oz EV-per-reserve-ounce vs. a \$1,189 peer median is the market's standing price for this exposure.
Gold equities as a levered claim, not a hedge	Headwind	On 04-Apr-2025 the S&P 500 fell 5.9% and GDX fell 8.8% — gold equities were sold as beta. Barrick's weekly ADF p-value of 0.651 confirms a near-random-walk series.
Structural separation of Tier-1 and frontier assets	Tailwind	The ~\$42B NewCo IPO (NGM 61.5%, Pueblo Viejo 60%, Fourmile) is an explicit attempt to have Tier-1 jurisdictions earn a Tier-1 multiple rather than blending with Mali and the DRC — contested by Newmont's default notice.

Table 1 — the trends shaping B's markets, and what each means for the company.

1a · Key decision points — what would have to be true

A decision framework, NOT a recommendation. This block states what would have to be TRUE for each outcome and what each path implies for value; it contains no rating, no buy/sell call and no price target. The reader forms the view; this section supplies the map and the arithmetic.

This block is a map, not a verdict. It separates what the market tells us from what the analyst guesses, and keeps the two apart on purpose. **The four blocks below answer four different questions.** (1) *What are the odds, according to the market?* — probabilities computed closed-form from the same 47.8% 12-month ATM implied volatility that drives the §7a cone, containing no view of ours. **Read them carefully: a driftless lognormal at ~48% volatility has a median BELOW spot** (the $-1/2\sigma^2T$ term), so the 59.4% probability of finishing below \$34.84 at 12 months is arithmetic, not pessimism — the same distribution has an expected value of exactly spot. (2) *How much of the modeled upside is real?* — the drift contrast is stark: the §7 bootstrap Monte Carlo's \$45 median requires a **37.0%/yr** drift to be true, inherited from a lookback window in which Barrick roughly doubled; the driftless cone says \$31. That \$14 spread is not a disagreement about Barrick — it is a disagreement about whether the past year's drift repeats, and the reader should decide which to believe. (3) *What must one form a private view on?* — the discrete catalysts, tagged as judgment, stated in bands, and disciplined wherever possible by the gold distribution rather than invented. (4) *What is each path worth?* — scenario arithmetic on the §3e grid, valued on the same basis as the §3d sum-of-parts. **The convergence is itself the finding.** Five independent constructions — SOTP \$33, sensitivity base \$35, ADL \$33.6, driftless

IV median \$31, and the probability-weighted scenario value \$34.34 — all land within a few dollars of spot at \$34.84, with a median anchor of \$35.00. Only two constructions show meaningful upside, and both rest on assumptions the reader should interrogate: the lens blend (\$42–43) requires Barrick to re-rate toward peer multiples *while* its FCF margin is the worst in the group, and the bootstrap MC (\$45) requires that 37%/yr drift to persist. The base path's \$35.01 landing on spot is not a coincidence to be admired — it means **the market is currently pricing Barrick consistently with gold at spot and costs at guidance**, so a reader's view on this equity reduces almost entirely to a view on gold, on whether the NewCo IPO closes the reserve discount, and on whether the cash-conversion gap is structural. Nothing here is a recommendation, a rating or a target.

1 • Market-implied probabilities (MODEL-DERIVED — computed, not an opinion).

Threshold	vs spot	P(above) 6-mo	P(above) 12-mo	P(below) 6-mo	P(below) 12-mo
\$25.00	-28.2%	80.0%	67.6%	20.0%	32.4%
\$30.00	-13.9%	61.3%	52.9%	38.7%	47.1%
\$34.84 (spot)	+0.0%	43.4%	40.6%	56.6%	59.4%
\$40.00	+14.8%	28.0%	29.9%	72.0%	70.1%
\$45.00	+29.2%	17.4%	21.9%	82.6%	78.1%

Table 2 — probability of finishing above/below each threshold. Closed-form driftless lognormal: $P(S_T > K) = 1 - \Phi(\frac{\ln(K/S_0) + 0.5\sigma^2 T}{\sigma\sqrt{T}})$. Closed form rather than simulation, so the figures are deterministic and reproducible. DRIFTLESS by construction ($E[S_T] = S_0$), i.e. market-calibrated and containing NO analyst view. MODEL-DERIVED — computed from market-implied volatility, not an opinion.

Source. Computed from the same ATM option-implied volatility that drives the §7a cone (Yahoo Finance option chain via yfinance): 46.7% at ~6 months, 47.8% at ~12 months. **Caveat.** A driftless lognormal is a null, not a forecast: it assumes no view on gold, constant volatility and no jumps. The §7 event history shows single-day moves of -12.0%, so the tails are fatter than lognormal. Probabilities near the money are more reliable than those in the tails.

Construction	12-mo median	P(> spot)
§7a option-implied cone — driftless (market-calibrated)	\$31	41%
§7 bootstrap Monte Carlo — embeds lookback drift	\$45	75%
Spread	\$14.0	—
Annualized drift the bootstrap implicitly assumes	37.0%/yr	

Table 3 — the drift contrast: two Monte Carlos in this report disagree, and the gap is itself a decision input.

The §7 bootstrap Monte Carlo resamples historical returns and therefore EMBEDS the drift of its lookback window; the §7a option-implied cone is driftless by construction ($E[S_T] = S_0$). The gap

between their 12-month medians is the single clearest statement of how much of any modeled upside is an artifact of the lookback rather than a market-implied expectation. The 'implied annual drift' is the constant drift that would be required to reproduce the bootstrap's median under the same implied volatility — read it as a diagnostic of the bootstrap, not as a forecast.

2 · Discrete catalysts (ANALYST JUDGMENT — subjective, NOT model output).

Catalyst / question	Probability	Reasoning	If it resolves this way
Gold averages at or above \$4,500/oz — the assumption inside Barrick's own 2026 cost guidance (spot ~\$3,995 is ~11% below it)	25–35%	Analyst judgment — not model output. Disciplined by the driftless gold table above, which puts P(gold > \$4,500) at 23.5% over 6 months and 28.0% over 12. Tilted to the top of that range because professional forecasts cluster higher (J.P. Morgan ~\$6,000, Goldman ~\$5,400, Morgan Stanley ~\$4,400 for year-end 2026) and a driftless null ignores drift by construction. Against them: central-bank buying — the marginal demand that underwrote the 2025 rally — collapsed to ~16t in Q1-2026 vs. a ~60t/month expectation.	Arguably the single biggest swing factor in this report. Guidance built on \$4,500/oz gold is at risk at ~\$3,995 spot. §3e: gold at \$4,500 with mid-guidance AISC → \$10.17B EBITDA / \$4.82B FCF vs. \$8.63B / \$4.10B at spot economics — roughly the difference between the base and bull columns of the scenario table.
The NewCo North America IPO completes by end-2026 as targeted (~\$42B: NGM 61.5%, Pueblo Viejo 60%, Fourmile)	40–55%	Analyst judgment — not model output. Barrick reaffirmed 'on track' at Q1-2026 (11-May-2026), but it is not solely Barrick's decision: Newmont may assert consent or right-of-first-refusal rights over any transfer of the NGM interest, and reporting indicates the audit process opened under the default notice has no defined endpoint. The date is also market-conditions-dependent, and gold equities have de-rated ~38% (GDX) since January.	The clearest identified re-rating catalyst: it exists specifically to attack the \$769-vs-\$1,189/oz reserve-valuation gap by letting Tier-1 assets earn a Tier-1 multiple instead of blending with Mali and the DRC. Note this upside is NOT in any scenario row — those hold the peer multiple constant.
The Newmont NGM default dispute resolves by negotiation	55–70%	Analyst judgment — not model output. Both sides own economics in the same asset and both are hurt by an operator fight at a mine already showing production declines; a widely-discussed landing zone is a 'grand bargain' contributing Fourmile into NGM in exchange for consent to the spin. Weighted only moderately	Negotiated settlement likely unblocks the IPO but may transfer Fourmile value to the JV — i.e. the two catalysts are not independent, and the resolution that most helps

rather than
litigation or JV
breakup

because that bargain costs Barrick its best organic growth asset, which it may prefer to litigate than concede, and because the notice has been outstanding since 3-Feb-2026 without resolution.

the IPO is the one that costs the most elsewhere.
Litigation or breakup would leave the discount in place indefinitely.

Loulo-Gounkoto holds its ramp
without renewed
Mali friction

60–70%

Analyst judgment — not model output. For: settled Nov-2025 (~\$430M), a 10-year permit extension, control regained 16-Dec-2025, and Q1-2026 ramped faster than expected. Against: output remains well below pre-standoff levels (~80koz in Q1, ~103koz guided Q2), Barrick lowered the complex's 2026 targets and excluded Gounkoto from this year's plan, a major contractor is reported to be exiting Mali with 600+ layoffs, and the application of Mali's 2023 mining code to permit renewals is still unproven.

Already inside 2026 guidance at 260–290koz attributable, so this protects the base case rather than adding to it. A relapse would hit the bear path and revive the ~\$1B Mali writedown precedent.

Reko Diq proceeds
without further
material delay or
impairment

35–50%

Analyst judgment — not model output. Management is 'reviewing all aspects of the project' after increased security incidents — language that rarely precedes acceleration — and first production has already drifted to ~2029. Pakistan's security situation is outside Barrick's control. Weighted below even odds on the strength of that disclosure.

A pillar of the copper growth story and part of the strategic case for the gold-copper hybrid. Impairment would not touch near-term EBITDA (it is pre-production and not in the \$3e grid) but would remove a large slice of the 18Mt copper reserve — ~62.1Moz of the gold-equivalent base — from the long-run story.

AISC holds near \$1,855/oz
(guidance mid)
rather than
inflating toward
\$2,150/oz

55–65%

Analyst judgment — not model output. For: Q1-2026 delivered \$1,708/oz, below the guidance mid-point and down 4% YoY. There is also a natural partial hedge — AISC includes gold-price-linked royalties, so a falling metal mechanically relieves part of the cost line, meaning the bear path's 'low gold AND high cost' combination is somewhat self-limiting. Against: guidance is already 8–19% above FY2025, and industry-

Second-order versus gold but not trivial: at \$4,000/oz gold, the AISC range from \$1,760 to \$2,150 moves EBITDA from \$8.92B to \$7.72B and buyback capacity from \$3.06B to \$2.49B (\$3e).

wide cost inflation is persistent.

The FCF-margin gap to gold seniors closes (22.8% vs. a 27–36% peer range)	20–35%	Analyst judgment — not model output. The gap is substantially structural, not transitional: Lumwana Super Pit capex runs at \$750–850M/yr with first copper not due until Q1-2028, so the drag is funded by design and unlikely to reverse inside the forecast horizon. Mali normalization helps at the margin. Weighted low for that reason.				This is the variable most within management's control and the one the market appears to be pricing in the \$769-vs-\$1,189/oz reserve discount. If the gap is structural, that discount is justified and the \$3d SOTP of \$33 is, if anything, generous. If it closes, the re-rating case strengthens independently of gold.	

Table 4 — the binary questions a reader must form a view on. Probabilities below are the subjective judgment of the analyst, deliberately stated as bands to avoid false precision. They are NOT derived from any model in this report and should be replaced with whatever the reader believes.

3 · What each path is worth (model arithmetic) under judgmental weights.

Path	Weight	Gold	AISC	EBITDA	FCF	Implied \$/sh	vs spot
Bear — gold slips to \$3,500 and cost inflation bites	35.0%	\$3,500/oz	\$2,150/oz	\$6.19B	\$2.94B	\$26.18	-24.8%
Base — gold holds near spot (~\$4,000), AISC at guidance mid	45.0%	\$4,000/oz	\$1,855/oz	\$8.63B	\$4.1B	\$35.01	+0.5%
Bull — gold recovers to \$5,000, AISC at guidance low	20.0%	\$5,000/oz	\$1,760/oz	\$12.0B	\$5.69B	\$47.11	+35.2%
Probability-weighted value	100%					\$34.34	-1.4%

Table 5 — Each path takes a row of the \$3e gold x AISC grid (itself calibrated to reported FY2025) and values it on the SAME basis as the corrected \$3d sum-of-parts: implied EV = gold attributable EBITDA x the senior-gold lens EV/EBITDA (6.04x) + copper EBITDA held flat at \$1.116B x the copper lens EV/EBITDA (10.51x), less net debt of \$-1.54B (negative = net cash). Holding the peer MULTIPLE constant across paths is itself an assumption: in practice multiples compress as the metal falls, so the bear path is, if anything, optimistic.

Path	Rationale for the weight
Bear — gold slips to \$3,500 and cost inflation	Gold is already ~25% off its January record and the marginal buyer has stepped back - net central-bank purchases fell to ~16t in Q1-2026 against a ~60t/month expectation. The driftless gold distribution above puts P(gold < \$3,500) at ~38% over 12 months, so this is close to the market-implied odds of the metal leg alone. Paired with AISC inflating to \$2,150/oz, above the top of guidance - though note a partial

bites

natural hedge: Barrick's AISC includes gold-price-linked royalties, so a falling metal mechanically relieves some of the cost line.

Base — gold holds near spot (~\$4,000), AISC at guidance mid

The no-view path: gold stays roughly where it is and Barrick delivers the mid-point of its own 2026 AISC guidance (\$1,855/oz). Operationally this is what the company has been doing - Q1-2026 beat production guidance with AISC of \$1,708/oz, BELOW the guidance mid-point. The driftless gold distribution leaves ~45% of probability mass between the bear and bull thresholds, which is where this weight comes from.

Bull — gold recovers to \$5,000, AISC at guidance low

Requires gold to regain ~25% to \$5,000 - below its own January-2026 record of \$5,589/oz - with Barrick delivering the low end of guidance. The driftless gold distribution puts P(gold > \$5,000) at only ~17% over 12 months. Weighted slightly ABOVE that null because professional forecasts cluster above spot (J.P. Morgan ~\$6,000, Goldman ~\$5,400, Morgan Stanley ~\$4,400 for year-end 2026) and because this path additionally requires cost discipline. That 3-point tilt is the only place in this table where an explicit gold view is expressed.

*Table 6 — why each path is weighted as it is. **These weights are analyst judgment and are the most contestable numbers in this report.** The weights are the analyst's subjective judgment and are the most contestable numbers in this report. They are shown so a reader can substitute their own: the probability-weighted value is a linear function of them. This is scenario arithmetic, NOT a price target.*

4 • Where the independent constructions land (MODEL-DERIVED).

Construction	Value	vs spot	Basis
Sum-of-parts (§3d, attributable EBITDA x lens EV/EBITDA + net cash)	\$33.0	-5.3%	Peak-cycle FY2025 attributable EBITDA
Sensitivity base (§3a, consolidated EBITDA x current multiple)	\$35	+0.5%	Trailing consolidated EBITDA
ADL 26-week path (§6a, gold + GDX driven)	\$33.64	-3.4%	AR(1)-projected exogenous drivers
Option-implied median, 12-mo (§7a, driftless)	\$31	-11.0%	Market-calibrated, no analyst view
Lens blend — profit-weighted (§3)	\$42	+20.6%	Consolidated EBITDA x peer multiples
Lens blend — revenue-weighted (§3)	\$43	+23.4%	Consolidated EBITDA x peer multiples
Bootstrap Monte Carlo median, 12-mo (§7)	\$45	+29.2%	Embeds lookback-window drift

Table 7 — every independent valuation construction in this report vs. spot \$34.84. Median anchor \$35.0. Convergence is itself a decision input. Where independent constructions on different bases agree, the reader is looking at a robust number; where they diverge, the divergence identifies exactly which assumption the disagreement rests on.

2 • What is driving B

Barrick's price is driven, in descending order, by the gold price, its own cost trajectory, and two idiosyncratic corporate events. On **gold**, the operating leverage is stark: Q1-2026 realized \$4,823/oz (+66% YoY) and produced a 719koz beat against 640–680koz guidance, AISC of \$1,708/oz (–4% YoY), \$1.575B of FCF (+320% YoY) and a 256% jump in EPS — yet the stock is down 33.4% from its January high, because the market prices the forward gold curve, not the trailing print. The Q1 realization of \$4,823/oz will not repeat at ~\$3,995 spot. On **cost**, 2026 AISC guidance of \$1,760–1,950/oz is 8–19% above FY2025's \$1,637/oz, and it is anchored on a \$4,500/oz gold assumption that spot now sits ~11% below — royalty and cost-recovery mechanics embedded in that assumption are therefore optimistic. On **corporate events**: the ~\$42B NewCo IPO would carve out the 61.5% Nevada Gold Mines stake, 60% of Pueblo Viejo and 100% of Fourmile into a separately listed North American vehicle by end-2026, an explicit attempt to have the market pay a Tier-1-jurisdiction multiple for Tier-1-jurisdiction assets rather than blending them with Mali and the DRC — the \$769/oz EV-per-reserve-ounce discount is exactly what that transaction is designed to attack. Against it, Newmont's 3-Feb-2026 notice of default alleges systematic mismanagement and resource diversion from NGM toward Fourmile, and Newmont may assert consent or right-of-first-refusal rights over any transfer of the NGM interest. On **growth**, Lumwana's Super Pit is on schedule and budget for first copper in Q1-2028 with 2026 capex at the low end of \$750–850M, while Reko Diq — the other pillar of the copper story — has moved the wrong way, with management 'reviewing all aspects of the project' after increased security incidents. Finally, capital returns are real and rising: \$1.5B of buybacks in FY2025, a new \$3.0B authorization announced with Q1-2026, and a Q1-2026 dividend of \$0.175/share.

2b · Leading-indicator tracker

The tracker is deliberately weighted toward the gold price and the two live corporate events, because for this business they dominate the operating KPIs. Note the tension in the first four rows: Barrick's *operations* are performing (Q1-2026 production beat guidance at 719koz vs. 640–680koz; AISC fell 4% YoY to \$1,708/oz; FCF rose 320% to \$1.575B) while its *price driver* deteriorated (gold –25% from the peak; spot ~11% below the \$4,500/oz assumption baked into 2026 cost guidance). Good execution into a falling metal is precisely how a miner's equity falls 33% while its earnings rise. Two rows changed sign versus the prior expectation for this name: Mali is now settled and ramping ahead of plan rather than seized, and Reko Diq has moved from advancing to 'under review' after security incidents.

Indicator	Latest	Prior	Read	Source
Spot gold (GC=F)	~\$3,995/oz	\$5,318/oz peak (29-Jan-26)	DOWN ~25% from the peak — the single most important driver, and it has turned against the stock	yfinance, 16-Jul-2026
Gold vs. Barrick's cost	\$4,500/oz	\$4,500/oz	Spot is ~11% BELOW	Barrick's 2026

BARRICK'S guidance assumption	~\$3,995/oz	\$4,000/oz assumed	the price Barrick's 2026 cost guidance is built on	BARRICK Q1- 2026 release
Q1-2026 gold production	719 koz	guidance 640-680 koz	Beat guidance; NGM underground, Veladero grades and a fast Loulo ramp	Barrick Q1- 2026
Q1-2026 gold AISC	\$1,708/oz	\$1,779/oz (Q1-25)	Down 4% YoY — costs behaving, so far	Barrick Q1- 2026
Q1-2026 realized gold price	\$4,823/oz	\$2,898/oz (Q1-25)	+66% YoY, but Q1 captured the January spike — Q2/Q3 will realize far less at current spot	Barrick Q1- 2026
Q1-2026 free cash flow	\$1.575B	\$0.375B (Q1-25)	+320% YoY — peak- cycle cash generation	Barrick Q1- 2026
Net cash position	\$2.405B net cash	\$2.003B (YE-25)	Balance sheet is a genuine strength — net cash, not net debt	Barrick Q1- 2026
FY2025 gold reserves (P&P)	85 Moz	89 Moz (YE-24)	Reserve replacement is the long-run swing factor for a depleting-asset business	Barrick FY2025 reserve statement
2026 gold production guidance	2.90-3.25 Moz	3.255 Moz (FY25 actual)	Guidance midpoint is BELOW FY2025 actual — volumes are not the growth story	Barrick FY2025 release
2026 gold AISC guidance	\$1,760-1,950/oz	\$1,637/oz (FY25)	Costs guided UP 8-19% YoY — margin compression on top of a lower gold price	Barrick FY2025 release
Spot copper (HG=F)	~\$6.25/lb	\$4.72/lb (FY25 realized)	Copper near highs (-6% off peak, +11% YTD) while gold corrects — the two legs have decoupled	yfinance, 16- Jul-2026
Mali / Loulo- Gounkoto	Settled; operating	Seized/suspended	RESOLVED Nov-2025 for ~\$430M + 10-yr permit extension; control regained 16-Dec-2025; ramping ahead of plan	Barrick / mining.com, Nov-Dec 2025

Newmont NGM notice of default	Unresolved	Issued 3-Feb-2026	Newmont can contest the NewCo IPO of the 61.5% NGM stake	Mining Weekly, Feb- 2026
NewCo North America IPO	On track for end- 2026	Authorized Feb- 2026	~\$42B entity (NGM 61.5%, Pueblo Viejo 60%, Fourmile); hinges on the Newmont dispute	Barrick Q1- 2026 / Reuters
Lumwana Super Pit	On schedule/budget	n/a	First copper Q1-2028; 2026 capex at the low end of \$750-850M	Barrick Q1- 2026
Reko Diq	Under review	Advancing	Management 'reviewing all aspects' after increased security incidents — a negative turn	Barrick FY2025 release

Table 8 — operating KPIs with latest readings. Barrick FY2025 results (5-Feb-2026) and Q1-2026 results (11-May-2026), [barrick.com / SEC EDGAR CIK 0000756894](#); gold and copper prices via [yfinance](#) (GC=F, HG=F) as-of 16-Jul-2026; gold record high per World Gold Council / Kitco reporting.

3 · Valuation — where B should trade

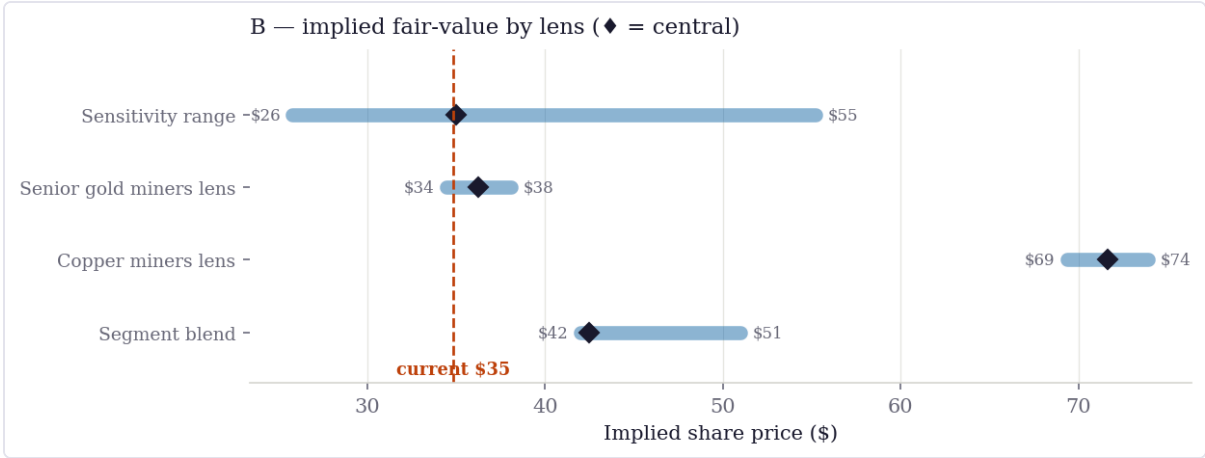
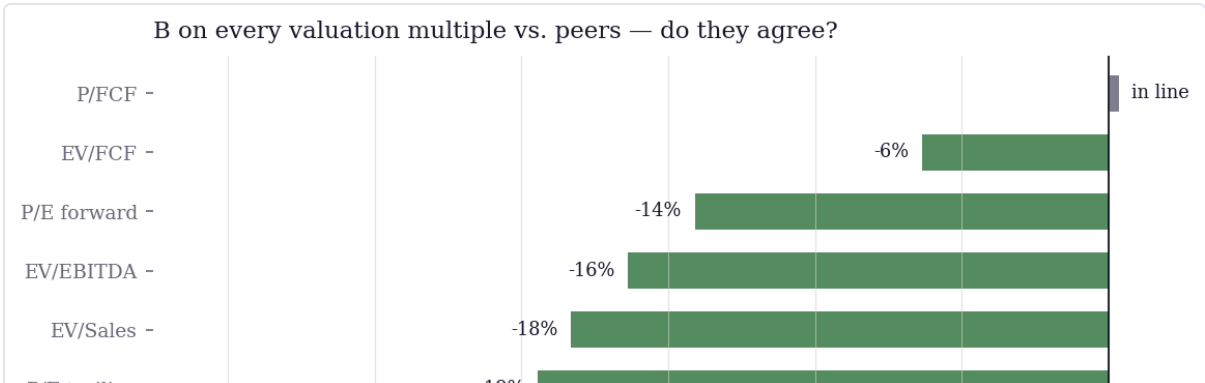


Fig. 1. Implied fair-value by lens; dashed line = current \$35.



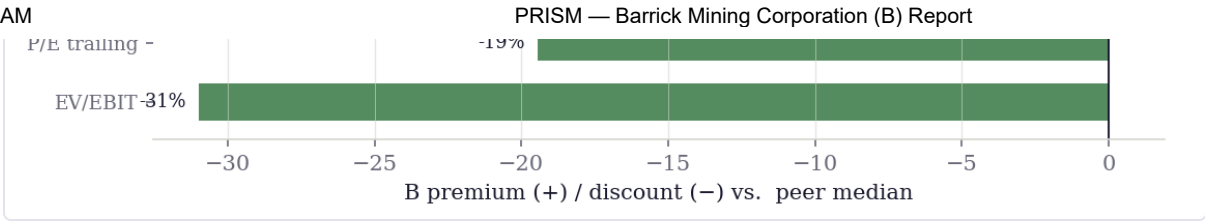


Fig. 2. B premium/discount to its subsector peers by valuation multiple.

Metric	B	Peer median	Read
P/E trailing	10.07	12.50	-19% cheap
P/E forward	7.71	8.98	-14% cheap
EV/EBITDA	5.57	6.66	-16% cheap
EV/EBIT	7.14	10.34	-31% cheap
EV/Sales	3.43	4.20	-18% cheap
P/FCF	11.10	11.06	in line
EV/FCF	12.41	13.25	-6% cheap
Dividend yield	2.01	1.79	in line

Table 9 — B on every multiple vs. peer median.

Lens	EV/EBITDA	Fwd P/E	Implied \$ (EV/EBITDA)	Implied \$ (Fwd P/E)
Senior gold miners	-8%	+1%	\$38	\$34
Copper miners	-47%	-53%	\$69	\$74

Table 10 — segment-relevant peer lenses, premium/discount and implied prices.

Segment-weighted blend: **revenue-weighted \$43, profit-weighted \$42.**

3a · Sensitivity

EBITDA ↓ / mult →	4.5×	5.5×	6.0×	7.0×	8.0×
\$8.0B	\$17	\$22	\$24	\$29	\$34
\$10.0B	\$23	\$29	\$32	\$38	\$44
\$11.7B	\$27	\$34	\$38	\$45	\$52
\$14.0B	\$33	\$42	\$46	\$54	\$63
\$17.0B	\$41	\$52	\$57	\$67	\$77

3b · Return on invested capital

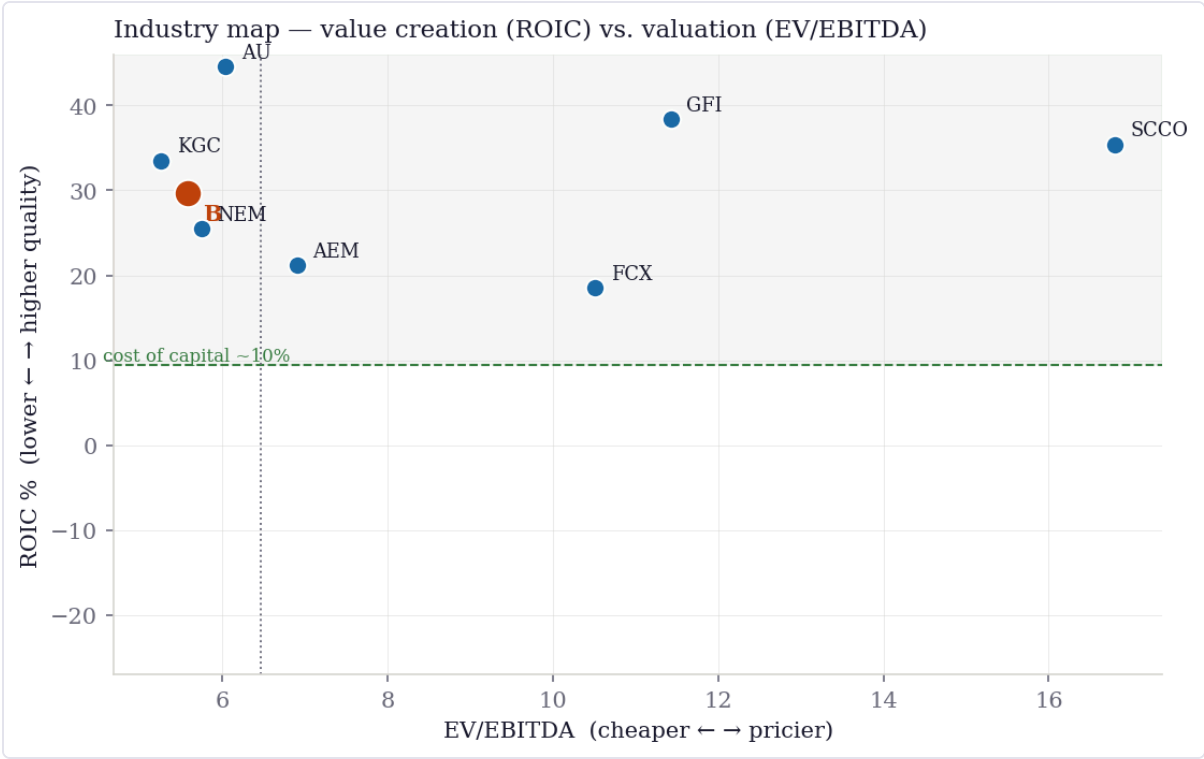


Fig. 3. Value creation (ROIC) vs. valuation (EV/EBITDA). B highlighted.

B's ROIC is **29.7%** vs. an assumed cost of capital of ~10% — above (value-creating). Per Mauboussin (Morgan Stanley, *Valuation Multiples*), the warranted multiple is a function of the ROIC-vs-WACC spread and growth; a low-return business should trade at a modest multiple until returns improve.

Lease-adjusted ROIC bridge. Leases are immaterial for Barrick — a \$0.05B lease liability against \$25.02B of invested capital — so the three ROIC treatments are effectively identical (29.8% ex-lease, 29.7% lease-adjusted, 29.7% pipeline headline) and the lease adjustment carries no information here. It is retained only for cross-report comparability. **The material distortion for this name is cyclicalty, not leases.** The 29.7% ROIC is FY2025 NOPAT of \$7.44B (on an 18.8% effective tax rate) over \$25.06B of invested capital — earned at a \$3,501/oz realized gold price against a capital base accumulated over decades at far lower prices. A single-year ROIC for a miner measures where the metal sits in its cycle at least as much as it measures capital allocation: the same mines would show a fraction of this return at \$2,000/oz gold on an essentially unchanged asset base. Read the +20.2pt spread over the 9.5% WACC as cycle-contingent, and note that even at the top of the cycle Barrick's return is only mid-pack among its peers.

Basis	Invested capital	ROIC
Ex-lease (financial capital only)	\$25.02B	29.8%

Lease-adjusted (capitalize leases + interest add-back)	\$25.06B	29.7%
Pipeline headline (lease in denominator only)	\$25.06B	29.7%

Table 12 — ROIC under three invested-capital treatments. Leases are immaterial for Barrick (unlike a store-based retailer), so the three ROIC treatments sit close together and the lease adjustment is not the story. The material caveat is CYCLICALITY, not leases: ROIC here is computed on FY2025 NOPAT, earned at a \$3,501/oz realized gold price against an invested-capital base built over decades at far lower gold prices. A single-year ROIC for a miner therefore measures where gold is in its cycle at least as much as it measures management's capital allocation — it will look excellent at the top of a gold cycle and poor at the bottom, on an essentially unchanged asset base. Read the spread vs. WACC as cycle-contingent, not durable.

Mauboussin warranted multiple. Per Mauboussin & Callahan (*Valuation Multiples*, Morgan Stanley), a warranted multiple is a function of the ROIC-minus-WACC spread and growth. Mechanically, Barrick's 29.7% ROIC against a 9.5% WACC warrants a 13.8× forward P/E at 3% sustainable growth, rising to 30.6× at 7% — against an actual forward multiple of 7.7×, implying **–6.1% durable growth**. The naive reading is that the stock is dramatically undervalued. **The correct reading is that the framework is being pushed outside its domain, and the market is right.** The formula assumes a steady-state ROIC and a constant perpetual growth rate; Barrick has neither. Its ROIC is a function of the gold price, and its 'growth' is reserve depletion partially offset by discovery — 2026 production guidance (2.90–3.25Moz, midpoint 3.075Moz) sits *below* FY2025's 3.255Moz actual, and reserves stand at 85Moz with a 27.6-year life. A depleting-asset business earning a peak-cycle return should, correctly, be capitalized at a low multiple with negative implied growth: the –6.1% is the market declining to extrapolate \$3,501/oz-and-rising economics into perpetuity, which is sound. Read the low-growth rows, treat the implied-growth reconciliation as a diagnostic of peak-cycle earnings rather than a market forecast, and note that the warranted-multiple grid is the weakest analytical tool in this report for this particular business.

Sustainable growth g	Warranted fwd P/E
3.0%	13.8×
4.0%	15.7×
5.0%	18.5×
6.0%	22.8×
7.0%	30.6×

Table 13 — warranted forward P/E = $(1 - g/ROIC)/(WACC - g)$ at ROIC 29.7% and WACC 9.5%. Actual forward P/E 7.7× ≈ –6.1% implied durable growth.

3d · Segment sum-of-parts (reported 10-K segment profit)

The sum-of-parts values each metal's reported FY2025 *attributable* EBITDA — gold \$7.041B, copper \$1.116B — at its own lens median EV/EBITDA (6.04× and 10.51× respectively), giving \$42.53B and \$11.73B of segment EV, or \$54.26B in total. There is no corporate stub to capitalize

because the two metal figures sum exactly to reported total attributable EBITDA of \$8.157B. **One methodological correction is material and worth stating plainly.** The pipeline's default net-debt deduction is the EV bridge (enterprise value \$65.4B less market cap \$58.5B = \$6.89B), which for Barrick silently contains ~\$8.4B of implied **minority interest** — the balance sheet carries \$9.36B of it, overwhelmingly Newmont's 38.5% of Nevada Gold Mines. Since the EBITDA being valued here is attributable and therefore already net of that minority (Barrick's FY2025 net income was \$4.99B attributable versus \$7.15B including non-controlling interests — minorities take ~30% of consolidated profit), deducting the bridge would double-count the minority and understate equity by roughly \$5/share. This SOTP instead adds back Barrick's own net cash of \$1.54B, giving \$55.80B of equity and **\$33/share**. The residual imprecision is disclosed and runs the other way: the \$6.71B cash balance is consolidated and includes NGM cash of which Barrick economically owns 61.5%, biasing this figure slightly high. The gap to the \$3 lens blend (\$42–43) is not a contradiction but a basis difference: the blend applies lens multiples to *consolidated* trailing EBITDA (~\$11.7B, including 100% of NGM) and then deducts the minority via the EV bridge, whereas this SOTP works entirely in attributable terms. At \$33 the SOTP sits essentially on top of spot (\$34.84), and it is the more conservative of the two constructions.

Segment	Lens	Seg. profit	EV/EBITDA	Segment EV	Implied \$/sh
Gold	Senior gold miners	\$7.041B	6.04×	\$42.53B	\$25.0
Copper	Copper miners	\$1.116B	10.51×	\$11.73B	\$7.0
Gross segment EV				\$54.26B	
less: corporate/unallocated (× 6.65×)				−\$0.0B	
less: net debt (lease-inclusive)				−\$-1.54B	
Equity value → implied price				\$55.8B	\$33.0

Table 14 — each reported segment valued on its lens EV/EBIT multiple. Each metal's reported FY2025 attributable EBITDA is valued at the median EV/EBITDA of its lens peers (yfinance, current); net debt is deducted. Barrick reports attributable EBITDA by metal (gold/copper) rather than a full segment-EBIT footnote, so this sum-of-parts is run on an EV/EBITDA basis (matching the peer multiple) rather than the EV/EBIT basis used for single-segment operating companies. There is no unallocated corporate line to capitalize because the two metal EBITDA figures already sum exactly to reported total attributable EBITDA.

SOTP implied **\$33.0** vs the \$3 EV/EBITDA blend (\$43 rev / \$42 profit) and spot \$35 — the sum-of-parts sits below the blend. Both legs are valued on peer EV/EBITDA against FY2025 attributable EBITDA — a cyclical-PEAK earnings base struck at a \$3,501/oz realized gold price. The SOTP is therefore a peak-earnings valuation and should be read alongside the gold x AISC grid in §3e, not as a standalone target.

Source. Barrick Mining Corporation FY2025 results release (5-Feb-2026), SEC EDGAR CIK 0000756894 / barrick.com. Attributable EBITDA by metal as reported: gold \$7,041M, copper \$1,116M, total \$8,157M.

3e · Gold price x AISC scenarios -> EBITDA, FCF & buyback capacity

This grid replaces the retail comp × margin construction with the two variables that actually determine a gold miner's cash flow: the **gold price** and **AISC**. The arithmetic is calibrated to Barrick's own reported FY2025 rather than assumed. Because AISC already contains site G&A, royalties and sustaining capex, oz × (price – AISC) is a pre-tax free-cash margin and *not* EBITDA; the bridge back to EBITDA is the sustaining-capex add-back, which is solved directly out of the reported base year: FY2025 gold EBITDA of \$7.041B less 3.255Moz × (\$3,501 – \$1,637) = \$6.07B implies **\$299/oz of sustaining capex**, and that calibrated constant is what the grid uses. FCF is then EBITDA × the reported FY2025 conversion of **47.4%** (\$3.87B FCF on \$8.157B EBITDA), and buyback capacity is FCF less the \$1.17B annualized dividend. Copper EBITDA is **held flat** at the reported \$1.116B to isolate gold sensitivity — a joint gold-and-copper move would swing the totals further than any row shown. Read the \$4,000/oz rows as spot economics (\$8.63B EBITDA, \$4.10B FCF, \$2.93B of buyback capacity at mid-guidance AISC), the \$4,500/oz rows as Barrick's own guidance assumption, and the \$5,500/oz rows as a return toward the January-2026 record. The span is the point: from \$6.19B to \$13.54B of EBITDA across the grid — a 2.2× range driven by variables management does not control. Every row is an analyst scenario and none is company guidance.

Gold price	Gold AISC	AISC margin	Gold EBITDA	Total EBITDA	FCF	Buyback capacity
\$3,500/oz	\$1,760/oz	50%	\$6.27B	\$7.39B	\$3.50B	\$2.33B
\$3,500/oz	\$1,855/oz	47%	\$5.98B	\$7.09B	\$3.37B	\$2.20B
\$3,500/oz	\$1,950/oz	44%	\$5.69B	\$6.80B	\$3.23B	\$2.06B
\$3,500/oz	\$2,150/oz	39%	\$5.07B	\$6.19B	\$2.94B	\$1.77B
\$4,000/oz	\$1,760/oz	56%	\$7.81B	\$8.92B	\$4.23B	\$3.06B
\$4,000/oz	\$1,855/oz	54%	\$7.52B	\$8.63B	\$4.10B	\$2.93B
\$4,000/oz	\$1,950/oz	51%	\$7.22B	\$8.34B	\$3.96B	\$2.79B
\$4,000/oz	\$2,150/oz	46%	\$6.61B	\$7.72B	\$3.66B	\$2.49B
\$4,500/oz	\$1,760/oz	61%	\$9.35B	\$10.46B	\$4.96B	\$3.79B
\$4,500/oz	\$1,855/oz	59%	\$9.05B	\$10.17B	\$4.82B	\$3.65B
\$4,500/oz	\$1,950/oz	57%	\$8.76B	\$9.88B	\$4.69B	\$3.52B
\$4,500/oz	\$2,150/oz	52%	\$8.15B	\$9.26B	\$4.39B	\$3.22B

\$1,000/oz	\$2,100/oz	50%	\$0.10B	\$0.20B	\$1.00B	\$0.22B
\$5,000/oz	\$1,760/oz	65%	\$10.88B	\$12.00B	\$5.69B	\$4.52B
\$5,000/oz	\$1,855/oz	63%	\$10.59B	\$11.71B	\$5.55B	\$4.38B
\$5,000/oz	\$1,950/oz	61%	\$10.30B	\$11.41B	\$5.42B	\$4.25B
\$5,000/oz	\$2,150/oz	57%	\$9.68B	\$10.80B	\$5.12B	\$3.95B
\$5,500/oz	\$1,760/oz	68%	\$12.42B	\$13.54B	\$6.42B	\$5.25B
\$5,500/oz	\$1,855/oz	66%	\$12.13B	\$13.24B	\$6.28B	\$5.11B
\$5,500/oz	\$1,950/oz	65%	\$11.84B	\$12.95B	\$6.14B	\$4.97B
\$5,500/oz	\$2,150/oz	61%	\$11.22B	\$12.34B	\$5.85B	\$4.68B

Table 15 — EBITDA = gold oz x (price - AISC + calibrated sustaining capex/oz) + copper EBITDA held flat; FCF = EBITDA x base-year FCF conversion; buyback capacity = FCF - dividend. Copper held flat isolates the gold-price/cost sensitivity and understates the swing in a joint commodity move. Analyst scenario grid - NOT company guidance. Forecast gold production 3.075Moz = midpoint of 2026 guidance (2.90-3.25Moz). AISC grid = 2026 guidance low / mid / high (\$1,760 / \$1,855 / \$1,950 per oz) plus a \$2,150/oz cost-inflation stress. Dividend \$1.17B = the Q1-2026 declared \$0.175/share annualized (x4) on ~1.676B shares outstanding; Barrick's dividend carries a performance-linked component so the actual payout may differ. Copper EBITDA is held flat at the FY2025 reported \$1.116B to isolate gold-price/cost sensitivity — a joint gold+copper move would swing EBITDA further than any row shown.

Calibration. base year = FY2025 (reported) · gold production moz = 3.255 · gold realized price = 3501 · gold aisc = 1637 · reported gold ebitda b = 7.041 · implied pretax fcf margin b = 6.07 · calibrated sustaining capex per oz = 299.0 · copper ebitda held flat b = 1.116 · fcf conversion of ebitda pct = 47.4 · forecast gold production moz = 3.075 · dividend b = 1.17

Source. Base-year actuals from Barrick's FY2025 results release (5-Feb-2026); 2026 production and AISC guidance from the same release and the Q1-2026 release (11-May-2026). Gold price grid is an analyst scenario set anchored on spot (GC=F ~\$3,995/oz, 16-Jul-2026), Barrick's own \$4,500/oz guidance assumption, and the \$5,589/oz record of 28-Jan-2026 — NOT company guidance.

3f · Reserve-based metrics — the miner-specific lens

This section exists to acknowledge a real limitation rather than paper over it. The engine driving the rest of this report is EV/EBITDA- and ROIC-centric, which is a **partial lens for a miner**. Senior gold investors conventionally anchor on **P/NAV**, and on EV per ounce of reserves and resources, and on AISC — none of which yfinance supplies. Two of the three are computed here from Barrick's own reported 31-Dec-2025 mineral-reserve statement and each peer's equivalent disclosure: **EV/oz of reserve of \$769 against a \$1,189 peer median**, and an **AISC margin at spot of \$2,140/oz (53.6%)** on 2026 guided mid-point costs. The 85Moz reserve base implies a 27.6-year life at guided production. Copper reserves of 18Mt convert to ~62.1Moz of gold-equivalent at spot price ratios (3.45 oz Au per tonne Cu), taking gold-equivalent reserves to 147.1Moz and EV/oz to \$445 — but that conversion is **revenue-equivalent, not margin-**

equivalent: copper's AISC margin (~32% in FY2025) is far below gold's (~53%), most of the copper reserve sits in undeveloped, capital-hungry, long-dated assets (Reko Diq, now under review; Lumwana's Super Pit, first copper Q1-2028), and the ratio itself moves with the gold/copper price. Treat gold-equivalent as indicative only. **P/NAV is deliberately absent and is not asserted anywhere in this report.** Computing it honestly requires a discounted mine-by-mine, reserve-life cash-flow model — a gold price deck, grade and recovery profiles, a capex schedule and jurisdiction-specific discount rates — which this pipeline does not build. A fabricated NAV would be worse than an acknowledged gap; it is carried into next steps instead. Finally, EV per reserve ounce is a stock-of-inventory yardstick that ignores grade, mine life, jurisdiction, capital intensity and the timing of production, so it is only comparable across names of similar asset quality — which is precisely why Barrick's discount to it is a signal about geography rather than an arbitrage.

Metric	Value
Enterprise value	\$65.4B
Gold reserves (P&P)	85.0 Moz
Copper reserves (P&P)	18.0 Mt
Copper expressed in gold-equivalent	62.1 Moz
Gold-equivalent reserves	147.1 Moz
EV / oz of gold reserve	\$769.0
EV / oz of gold-equivalent reserve	\$445.0
EV / oz of measured+indicated resource	—
Reserve life at forecast production	27.6 years
Spot gold	\$3995/oz
2026 guided AISC (mid)	\$1855/oz
AISC margin at spot	\$2140.0/oz (53.6%)

Table 16 — reserve and cost yardsticks. Barrick FY2025 mineral reserve statement (31-Dec-2025): 85Moz proven & probable gold at 0.98 g/t and 18Mt proven & probable copper. Peer reserves are each company's own reported 31-Dec-2025 proven & probable gold reserve: Newmont 118.2Moz (19-Feb-2026 release), Agnico Eagle 55.4Moz, Kinross 20.9Moz, AngloGold Ashanti 36.5Moz, Gold Fields 48.3Moz. Peer enterprise values via yfinance as-of the run date.

Company	EV	Gold reserves	EV/oz
NEM	\$93.9B	118.2 Moz	\$794.0
AEM	\$65.8B	55.4 Moz	\$1189.0
KGC	\$26.1B	20.9 Moz	\$1247.0

AU	\$39.6B	36.5 Moz	\$1084.0
GFI	\$59.1B	48.3 Moz	\$1223.0
Peer median			\$1189.0

Table 17 — EV per reserve ounce vs. senior-gold peers. EV per reserve ounce is a stock-of-inventory yardstick: it ignores grade, mine life, jurisdiction, capital intensity and the timing of production, so it is only comparable across names with similar asset quality. It is reported here because EV/EBITDA alone is a partial lens for a miner.

Acknowledged gap. P/NAV - the multiple most senior-gold investors actually anchor on - is NOT computed here. It requires a discounted, mine-by-mine, reserve-life cash-flow model (gold price deck, grade profile, capex schedule, jurisdiction-specific discount rate) that this pipeline does not build. No P/NAV figure is asserted anywhere in this report.

4 · Headwinds

Gold itself is the dominant risk, and it has already moved against the equity: a further fall to \$3,500/oz with AISC drifting to \$2,150/oz takes attributable EBITDA to \$6.19B and buyback capacity to \$1.77B, versus \$8.63B and \$2.93B at spot economics (\$3e). **Cost inflation compounds it** — guidance is already up 8–19% YoY, and the \$4,500/oz gold assumption underpinning it exceeds spot by ~11%. **Jurisdictional risk is chronic, not resolved.** Mali is settled, but the settlement itself is the template for the risk: Barrick paid ~\$430M, signed the 2023 mining code it had resisted, and had four employees detained before regaining control on 16-Dec-2025. The same category of exposure persists at Kibali (DRC), Lumwana (Zambia), Reko Diq (Pakistan — now under internal review after security incidents), Tongon (Côte d'Ivoire) and Veladero (Argentina). The \$769/oz EV-per-reserve-ounce versus the \$1,189/oz peer median is the market's standing quantification of this. **The Newmont default notice is a live legal overhang** that can delay or block the NewCo IPO — the single largest identified re-rating catalyst — and litigation with one's own 38.5% JV partner over the asset that generates the largest share of group EBITDA is not a low-stakes dispute. **Cash conversion lags peers:** a 22.8% FCF margin is the worst among the gold seniors here, and 77% FCF conversion trails the 87.5% peer median. **Reserve depletion** runs underneath everything: reserves stand at 85Moz and 2026 production guidance is below FY2025 actual. Finally, **the technical picture is uniformly negative:** price (\$34.84) sits below its MA20 (\$37.31), MA50 (\$39.80) and MA200 (\$40.78) in a death cross, with %B at 12 and RSI at 37 — weak but not yet washed out — and 50.6% realized volatility. The largest single-day move in ten years was –12.0% on 30-Jan-2026, the day the gold peak broke.

5 · Technical read

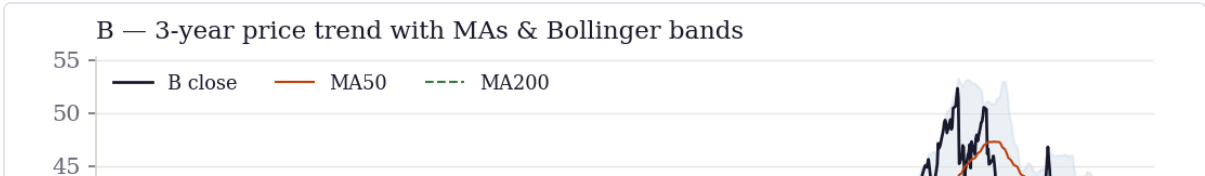




Fig. 4. 3-year price with MA50/200 & Bollinger bands.

Indicator	Reading
MA50 / MA200	\$39.8 / \$40.78 — death cross
RSI(14)	37.0
Bollinger %B	12% (upper \$40.6)
52-week range	\$20.27–\$52.32 (-33% off high)
Realized vol (90d, ann.)	50.6%

Table 18 — technical dashboard.

6 · Price forecast — weekly ETS, ARIMA & ADL (130-week window, 26-week horizon)

Weekly re-basing. Section 6 runs at weekly frequency over the trailing ~2.5 years (130 weeks) with a 26-week (~6-month) horizon, so all three models are estimated on the same window and are internally consistent. Weekly ADF $p \approx 0.651$ (near random walk); weekly return $\sigma \approx 5.33\%$.

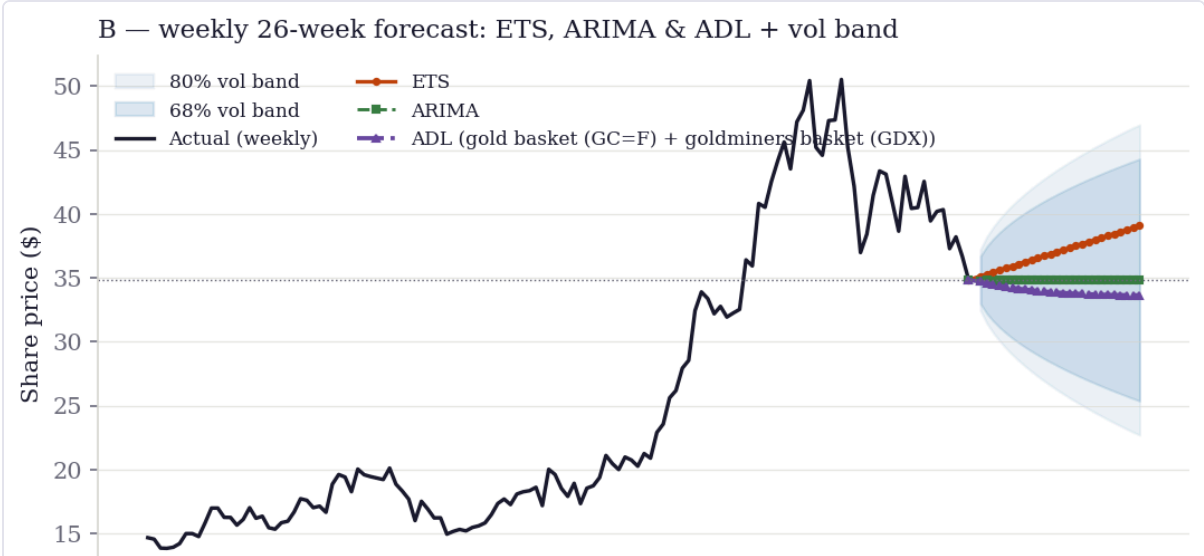




Fig. 5. Weekly 26-week forecast — ETS (trend), ARIMA (near-flat) and the ADL (peer-driven) — with a volatility-implied band.

Horizon	ETS	ARIMA	ADL	68% vol band
~1 mo (4 wk)	\$36	\$35	\$34	\$31–\$39
~3 mo (13 wk)	\$37	\$35	\$34	\$28–\$42
~6 mo (26 wk)	\$39	\$35	\$34	\$25–\$44

Table 19 — weekly point forecasts (ETS, ARIMA, ADL) and 68% volatility band. Scenario anchors, not predictions.

6a · ADL model — a peer-driven forecast

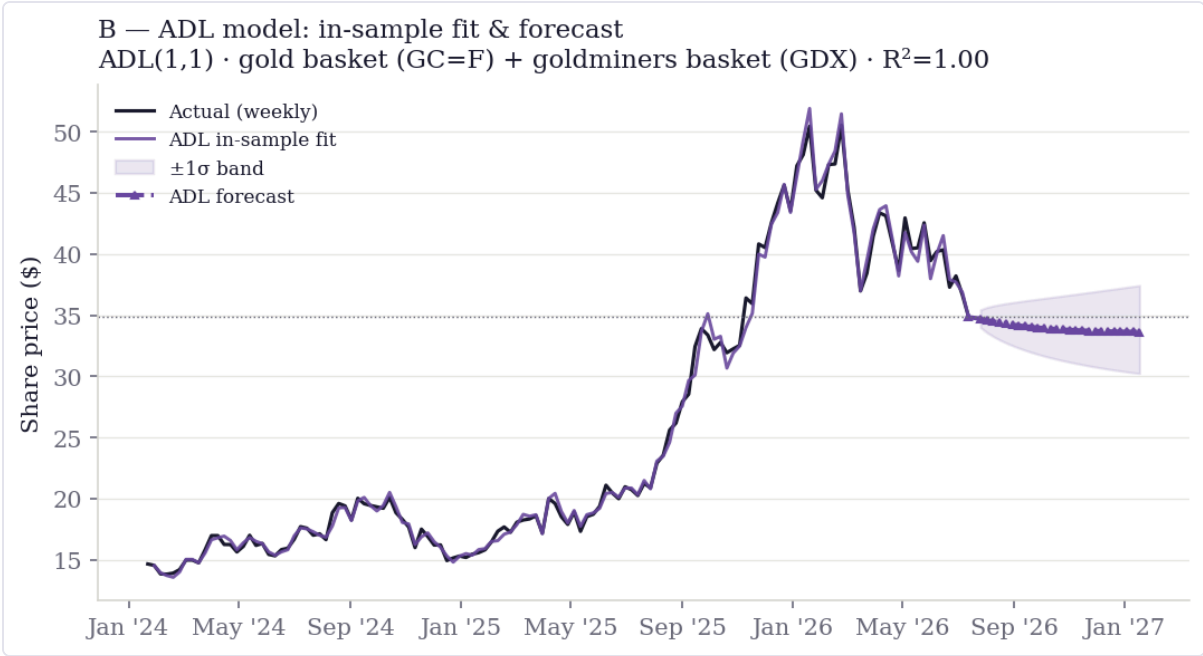


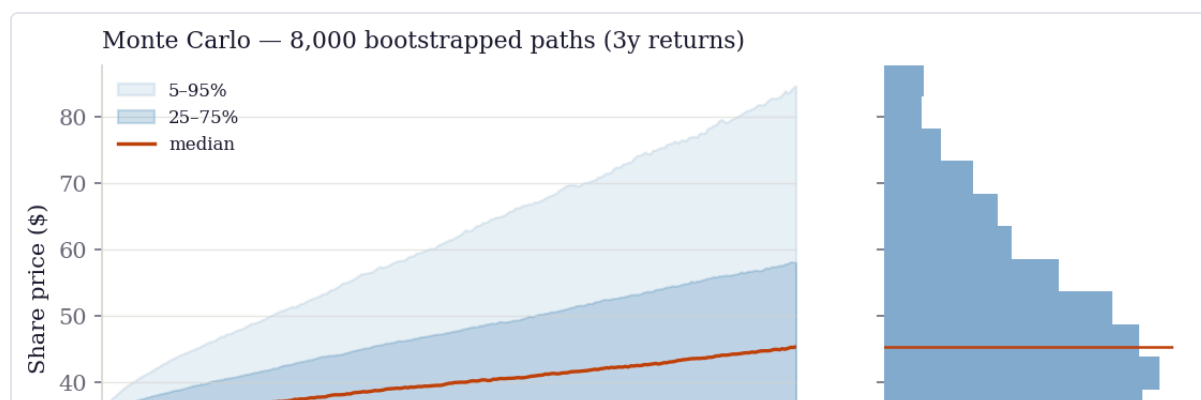
Fig. 6. ADL in-sample fit (purple) vs actual (black) and the 26-week forward path with a $\pm 1\sigma$ band. The peer basket co-drives the price level.

Specification. ADL(1,1) — weekly log price regressed on 1 own lag(s) plus distributed lags (0..1) of the **gold basket (GC=F) + goldminers basket (GDX)**. Order chosen by AIC (grid search over exog sets (peer-basket index, SPY (broad market), peer-basket index + SPY, gold basket (GC=F), peer-basket index + gold basket (GC=F), copper basket (HG=F), peer-basket index + copper basket (HG=F), goldminers basket (GDX), peer-basket index + goldminers basket (GDX), gold basket (GC=F) + copper basket (HG=F), gold basket (GC=F) + goldminers basket (GDX), copper basket (HG=F) + goldminers basket (GDX)) x p in 1..4 x q in 0..2, min AIC); AIC -620.5, BIC -603.3, in-sample R^2 0.997. Peer basket (8 names): AEM, AU, FCX, GFI, KGC, NEM, SCCO, TECK. Multi-step exogenous inputs: each exogenous series projected forward by its own fitted AR(1) on log-levels. Interval is $\pm 1\sigma$ (residual $\sigma=0.0209$ in log space) scaled by $\sqrt{\text{horizon}}$ — approximate; it omits parameter

and exogenous-projection uncertainty.

The Section 6 ADL was extended for this name: gold (COMEX futures GC=F), copper (HG=F) and a gold-miner beta proxy (GDX) were added to the exogenous candidate grid alongside the default equal-weight peer basket and SPY, with the winner chosen by AIC over exog set $\times p \in 1..4 \times q \in 0..2$. The selected spec is **ADL(1,1) on gold + GDX** (AIC -620.5, in-sample R^2 0.997), and its 26-week path lands at **\$33.57** under the documented AR(1) multi-step exogenous projection — each exogenous series is projected forward by its own fitted AR(1) on log-levels — versus \$32.66 with the drivers held flat at their last observed level, against spot of \$34.84. Both are modestly below spot. **The AIC ranking is more informative than the winner, and it contains two findings that cut against expectation.** First, every specification containing GDX dominates the table (-612 to -620) — but this is close to mechanically tautological, not economic: GDX is an ETF that *holds Barrick and its lens peers*, so regressing B on GDX is partly regressing B on itself. It should be read as a fit artifact and discounted. Second, and more interesting: **gold alone does not beat the peer basket alone** (-476.1 vs. -553.7) — a wide margin in the peer basket's favour, and the opposite of the prior that gold should dominate. The reason is that the peer basket is *itself* a portfolio of gold miners, so it functions as a levered gold proxy that additionally embeds miner-specific equity beta, cost inflation and sector fund flows — it is a 'better gold' for explaining a gold equity than the metal is. Gold nonetheless carries genuine incremental information: adding it to the peer basket improves AIC from -553.7 to -560.0, the best non-GDX specification in the table. Gold alone (-476.1) crushes SPY alone (-401.3), confirming that the metal, not the market, is the driver; copper alone (-404.8) is barely better than SPY, consistent with copper being ~14% of attributable EBITDA. **The backtest must be read with care.** The rolling 1-step out-of-sample RMSE is \$0.89 against \$2.74 for a random walk — a ratio of 0.326 over 26 weekly refits, an apparently crushing win. It is not a tradable edge: the 1-step test feeds the model the *realized contemporaneous* values of gold and GDX at the prediction date, so it measures nowcasting skill conditional on knowing the drivers, not forecasting skill. With GDX (which contains B) among those drivers, knowing GDX at time t is nearly knowing B at time t. The genuine uncertainty lives in the multi-step path, where the exogenous inputs must themselves be projected — and there the ADF p-value of 0.651 and 5.33% weekly volatility are the honest summary.

7 · Monte Carlo & events



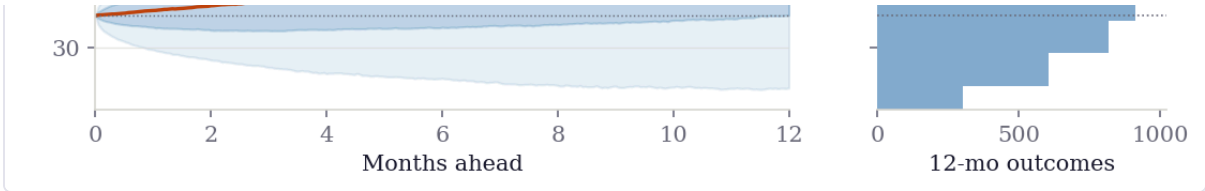


Fig. 7. 10k bootstrapped paths + 12-month distribution.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$25	\$33	\$40	\$48	\$61	68%
12mo	\$24	\$35	\$45	\$58	\$85	75%

Table 20 — Monte Carlo percentiles (embeds recent drift; driftless null ≈ current price).

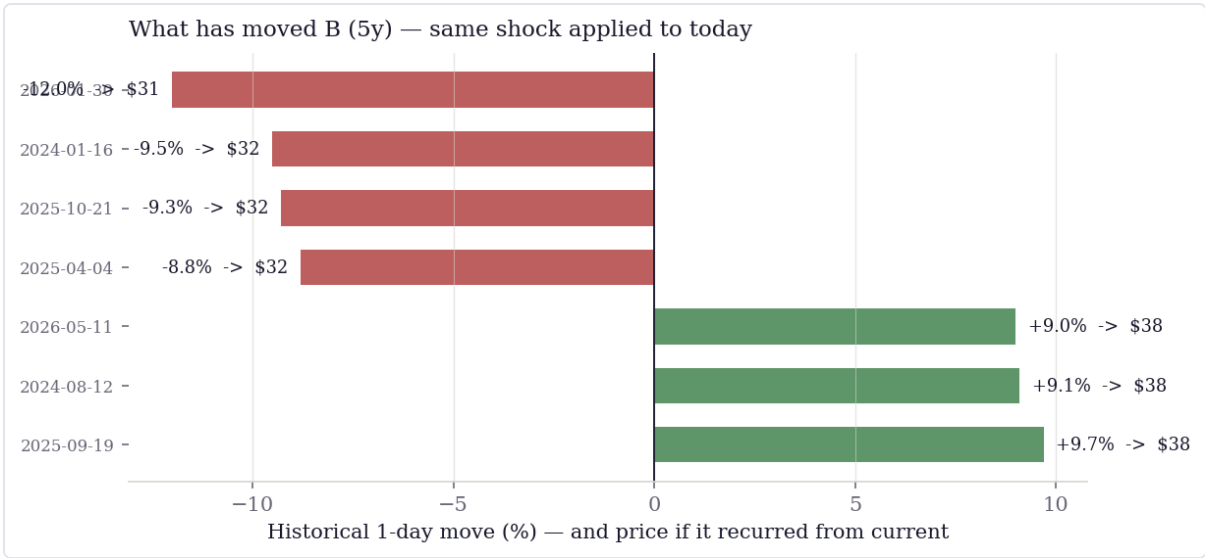


Fig. 8. B's largest single-day moves over the past 5 years and the price each would imply from today's \$35.

Date	1-day move	Likely catalyst	If repeated from \$35
2026-01-30	-12.0%	Gold itself fell 11.4% in a single session two days after its \$5,589/oz record; GDX -12.8%, Newmont -11.5%, S&P 500 -0.3%. Pure metal shock, sector-wide, not company-specific — the largest B move in a decade, -12.0%.	\$31
2024-01-16	-9.5%	Company-specific: B fell 9.5% while gold fell only 1.0% and GDX 4.4% — roughly 5pts of idiosyncratic underperformance. Timing coincides with Barrick's Q4-2023 preliminary production release and 2024 guidance; attribution inferred from the divergence, not confirmed from the release, -9.5%.	\$32
2025-10-21	-9.3%	Gold's sharp one-day break (-5.7%) after its autumn run; GDX -9.4%, Newmont -9.0%. B moved in line with the sector — metal-driven, -9.3%.	\$32

2025-04-04	-8.8%	Broad tariff-shock selloff: S&P 500 -5.9%, GDX -8.8%, gold -2.7%. Macro risk-off in which gold equities were sold as beta rather than bought as a hedge, -8.8%.	\$32
2026-05-11	+9.0%	Q1-2026 results (confirmed earnings date): 719koz beat 640–680koz guidance, AISC -4% YoY, FCF +320%, and a new \$3.0B buyback. Gold was FLAT that day (-0.04%) and GDX rose only 3.2% — so this was almost entirely company-specific, the single cleanest example of Barrick's own news moving the stock, +9.0%.	\$38
2024-08-12	+9.1%	Q2-2024 results (confirmed earnings date). Gold +1.3% and GDX +3.0%, so ~6pts of the move was company-specific, +9.1%.	\$38
2025-09-19	+9.7%	Gold-equity rally in the week of the Fed's September rate cut (gold +0.8%, GDX +5.2%), with B outperforming the sector by ~4.5pts. The idiosyncratic component is visible in the data but the specific driver is not identified here, +9.7%.	\$38

Table 21 — the biggest B price events (5-year window) and their forward echo. The ten-year distinct-event history is unusually informative for this name because comparing each move against gold, GDX and the S&P 500 on the same day cleanly separates what Barrick did from what the metal did. **The downside is almost entirely gold.** The largest move in a decade, **-12.0% on 30-Jan-2026**, came two days after gold's \$5,589/oz record, on a day the metal itself fell 11.4% and GDX fell 12.8% while the S&P 500 was unchanged (-0.3%) — the moment the cycle turned, and a clean demonstration that this equity is a levered claim on a commodity. The same pattern holds on 21-Oct-2025 (B -9.3%, gold -5.7%, GDX -9.4%) and on 04-Apr-2025 (B -8.8% in a broad tariff shock that took the S&P 500 down 5.9%, with gold equities sold as beta rather than bought as a hedge). The one exception is 16-Jan-2024, where B fell 9.5% while gold fell just 1.0% and GDX 4.4% — roughly 5 points of genuinely company-specific damage. **The upside, by contrast, is mostly Barrick's own.** The +9.0% on 11-May-2026 came on a day gold was flat (-0.04%) and GDX rose only 3.2%: the Q1-2026 print — a production beat, lower AISC and a \$3.0B buyback — did that work unaided. Likewise +9.1% on 12-Aug-2024 (Q2-2024 results; gold +1.3%) and +9.7% on 19-Sep-2025 (gold +0.8%, GDX +5.2%). **The asymmetry is the finding:** gold delivers the large drawdowns, while Barrick's own execution delivers the large rallies — which is precisely why the stock can fall 33% in a half-year during which it beat guidance every quarter. Day-one attributions here are analyst reconstructions from the cross-asset move on each date, not company confirmations.

7a · Option-implied-vol Monte Carlo & earnings calendar

The option-implied cone is the most honest forward-looking band in this report, and it disagrees sharply with the bootstrap Monte Carlo in §7 — a disagreement worth stating rather than smoothing. ATM implied volatility is **47.8% at ~12 months** (expiry 17-Jun-2027) and 46.7% at ~6 months, roughly in line with 50.6% realized. Because this cone is **driftless** by construction, its 12-month median lands at \$31 with only a 41% probability of finishing above the current \$34.84 (the sub-50% figure is the lognormal $-1/2\sigma^2T$ median drag at high volatility, not a bearish view). The §7 bootstrap Monte Carlo, by contrast, resamples historical returns and therefore **embeds the drift of a period in which Barrick roughly doubled off its lows**, producing a 12-month median of \$45 and a 75% probability of finishing higher. That \$45 is an artifact of the lookback window, not a forecast: the driftless null — approximately the current price — is the appropriate anchor, and the honest statement is that a 47.8%-vol stock has a very wide 12-month distribution (\$14 to \$68 at the 5th/95th percentiles) centered near spot. For this name the earnings calendar is also a weak volatility guide: scheduled prints are not the dominant catalyst

when the underlying driver, gold, reprices continuously and the two largest identified overhangs (the Newmont default notice, the NewCo IPO) are unscheduled.

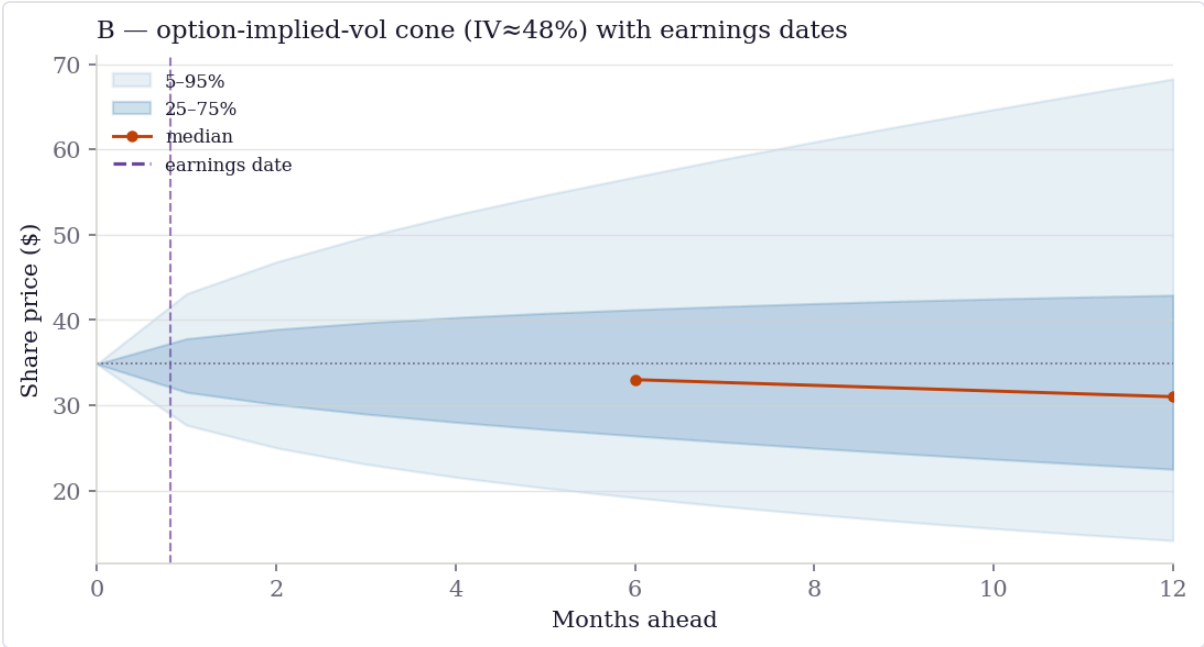


Fig. 9. Driftless lognormal price cone from ATM option-implied vol (~47.8% at ~12 months), with scheduled earnings dates marked.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$19	\$26	\$33	\$41	\$57	44%
12mo	\$14	\$23	\$31	\$43	\$68	41%

Table 22 — driftless option-implied-vol percentiles (contrast §7 bootstrap MC, which embeds recent drift). IV source: Yahoo Finance option chain via yfinance (ATM implied vol, ~6-month and ~12-month expiries); delayed quotes.

Earnings overlay. Next report(s): 2026-08-10. Q1 ~mid-May · Q2 ~mid-August · Q3 ~early-November · Q4/FY ~mid-February, with a mineral reserve & resource statement alongside the Q4/FY print. For a gold miner, scheduled earnings are NOT the dominant volatility source — the gold price is, and it trades continuously. The IV cone is a market-calibrated band around a stock whose primary driver reprices every day. Unscheduled catalysts dominate the calendar: gold/real-rate moves, the Newmont NGM default dispute and the NewCo IPO timetable, and jurisdictional headlines (Mali, Zambia, Pakistan, DRC, Argentina).

8 · Competitive landscape

Barrick is the world's second-largest gold miner by production and reserves, behind Newmont. Against the senior-gold lens (NEM, AEM, KGC, AU, GFI) it is not a valuation outlier: 5.57× EV/EBITDA vs. a 6.04× median and 7.71× forward P/E vs. 7.63× — in line to fractionally expensive on earnings. Where it is an outlier is per ounce of reserve, at \$769 against a \$1,189 median, a gap shared only with Newmont (\$794) and explained by grade (0.98 g/t) and

geography rather than by mispricing. On returns it is mid-pack (29.7% ROIC vs. AU 44.6%, GFI 38.4%, KGC 33.5%, NEM 25.5%, AEM 21.2%), and on cash conversion it is last among the gold names (22.8% FCF margin). The defining competitive relationship is with **Newmont**, which is simultaneously the largest peer, the 38.5% minority partner in Nevada Gold Mines — the JV that anchors North American gold EBITDA and whose minority interest accounts for ~\$9.36B of balance-sheet value and ~30% of consolidated net income — and, since 3-Feb-2026, an adversary formally alleging default. Agnico Eagle is the instructive contrast: the lowest ROIC in the gold group (21.2%) and the second-lowest reserves (55.4Moz), yet \$1,189/oz and a \$65.8B EV nearly equal to Barrick's \$65.4B on two-thirds fewer ounces — the market's clearest statement that *jurisdiction and predictability outrank scale* in this sector. On the copper side, Barrick competes for capital with FCX (18.5% ROIC), SCCO (35.4%) and TECK, a group trading at 10.51× EV/EBITDA — a multiple Barrick's copper leg does not currently receive inside the consolidated structure. Royalty and streaming companies (Franco-Nevada, Wheaton) are deliberately excluded from every lens here: their no-opex, no-sustaining-capex model earns structurally higher multiples and would corrupt any implied value derived from them.

9 · SWOT

STRENGTHS

- Second-largest reserve base among senior gold miners at 85Moz proven & probable, implying a long 27.6-year life at guided production.
- Net-cash balance sheet (\$1.54B financial net cash at FY2025; \$2.405B by Q1-2026) with 25.6× interest coverage and a 2.92 current ratio vs. a 2.32 peer median — a gold drawdown is an earnings event, not a solvency event.
- Wide AISC margin at spot: \$2,140/oz, or 53.6%, on 2026 guided mid-point costs.
- Tier-1 North American asset core — the 61.5% Nevada Gold Mines JV, 60% of Pueblo Viejo and the wholly-owned Fourmile discovery — which anchors the largest share of group EBITDA.
- Genuine copper optionality (Lumwana Super Pit on schedule/budget for first copper Q1-2028; Reko Diq) in a sub-sector the market capitalizes at 10.51× EV/EBITDA vs. 6.04× for gold.
- Operational execution is currently beating plan: Q1-2026 production of 719koz exceeded 640–680koz guidance with AISC down 4% YoY.
- Rising and credible capital returns: \$1.5B of

WEAKNESSES

- Lowest FCF margin of any gold senior in the peer set at 22.8% (vs. AEM 35.8%, KGC 36.4%, AU 33.7%, NEM 32.2%, GFI 27.1%) and 77% FCF conversion vs. an 87.5% peer median.
- Mid-pack ROIC at 29.7% despite peak-cycle gold — AngloGold (44.6%), Gold Fields (38.4%) and Kinross (33.5%) all earn more from the same metal price.
- Structural valuation discount of \$769 of EV per reserve ounce vs. a \$1,189 peer median — the market's standing verdict on jurisdiction and grade.
- Low reserve grade at 0.98 g/t, which raises the cost of converting a large reserve base into cash.
- Production is not growing: 2026 guidance midpoint of 3.075Moz sits below FY2025's 3.255Moz actual.
- 2026 AISC guided 8–19% higher YoY (\$1,760–1,950/oz vs. \$1,637/oz), and anchored on a \$4,500/oz gold assumption that spot sits ~11% below.
- Complex consolidated structure: minority interests carry \$9.36B of balance-sheet value and absorb ~30% of consolidated net income, so headline consolidated EBITDA materially

FY2025 buybacks, a new \$3.0B authorization with Q1-2026.	overstates Barrick's economic share.
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OPPORTUNITIES • The ~\$42B NewCo IPO of the North American assets (NGM 61.5%, Pueblo Viejo 60%, Fourmile), targeted for end-2026 — an explicit attempt to close the \$769-vs-\$1,189/oz reserve-valuation gap by letting Tier-1 assets earn a Tier-1 multiple. • Gold price recovery: a return to \$4,500/oz at mid-guidance AISC lifts attributable EBITDA to \$10.17B and buyback capacity to \$3.65B; the January-2026 record of \$5,589/oz would imply materially more. • Fourmile — a wholly-owned, high-grade Nevada discovery adjacent to NGM, with a full pre-feasibility study due in 2028 — is the most credible organic reserve-replacement asset in the portfolio. • Copper re-rating: 18Mt of copper reserves (~62.1Moz gold-equivalent at spot ratios) valued inside a gold-multiple structure; Lumwana's Super Pit delivers first copper in Q1-2028. • Mali normalization: with the settlement done, a 10-year permit extension in hand and the restart running ahead of plan, Loulo-Gounkoto's 260–290koz of 2026 attributable production is upside against a period when it contributed nothing. • Sustained buyback at a depressed price: \$2.93B of annual buyback capacity at spot economics against a \$58.5B market cap is ~5% of shares per year.	THREATS • A further gold decline — \$3,500/oz with AISC at \$2,150/oz cuts attributable EBITDA to \$6.19B and buyback capacity to \$1.77B; the metal has already fallen ~25% from its January record and central-bank buying, the marginal 2025 demand source, decelerated to ~16 tonnes in Q1-2026. • Newmont's 3-Feb-2026 notice of default on the Nevada JV, alleging resource diversion to Fourmile, which can delay or block the NewCo IPO and pits Barrick against the 38.5% partner in its most important asset. • Resource nationalism: Mali's settlement cost ~\$430M, acceptance of the 2023 mining code and the detention of four employees — a template that Zambia (Lumwana), the DRC (Kibali), Pakistan (Reko Diq) and Argentina (Veladero) could each follow. • Reko Diq deterioration — management is 'reviewing all aspects of the project' after increased security incidents, putting a pillar of the copper growth story in question. • Cost inflation running ahead of guidance, compressing margin from the cost side while the metal compresses it from the price side. • Reserve depletion outpacing discovery, which for a depleting-asset business means negative long-run volume growth — the market already implies –6.1% durable growth. • High volatility as a standing risk: 47.8% 12-month implied vol implies a \$14–\$68 5th-to-95th-percentile 12-month range; the largest single-day move in a decade was –12.0% on 30-Jan-2026.
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10 · Company financial health

Barrick's balance sheet is a genuine and unambiguous strength, and its cash conversion is a genuine and unambiguous weakness. On **solvency** it is among the strongest names in the peer set: financial net debt of –\$1.54B (i.e. net cash, rising to \$2.405B net cash by Q1-2026), a 2.92 current ratio against a 2.32 peer median, debt-to-equity of 0.20 against 0.33, and 25.6× interest coverage. Leverage is simply not a risk here — which matters enormously for a cyclical, because it

means a gold drawdown is an earnings event rather than a solvency event, and the company can fund Lumwana and keep buying stock through it. Contrast Teck ($1.11\times$ net debt/EBITDA, -5.4% FCF margin, $3.3\times$ coverage) and Freeport ($0.74\times$, 4.3% FCF margin) — the copper names carry the leverage and the cash-flow strain. **On cash generation the read inverts.** Barrick's 22.8% FCF margin is the *lowest of every gold senior here* — Kinross 36.4% , Agnico 35.8% , AngloGold 33.7% , Newmont 32.2% , Gold Fields 27.1% — and its 77% FCF conversion trails the 87.5% peer median. On $\$11.07\text{B}$ of consolidated EBITDA it produced $\$3.87\text{B}$ of FCF, while Newmont turned $\$14.09\text{B}$ into $\$7.30\text{B}$. Part of this is deliberate (Lumwana Super Pit and Reko Diq capex) and part is the Mali outage, but the pattern is consistent with the market's $\$769/\text{oz}$ reserve valuation: investors are not paying for ounces that cost this much to convert into cash. Payout of 48% of net income is in line with the 46% median.

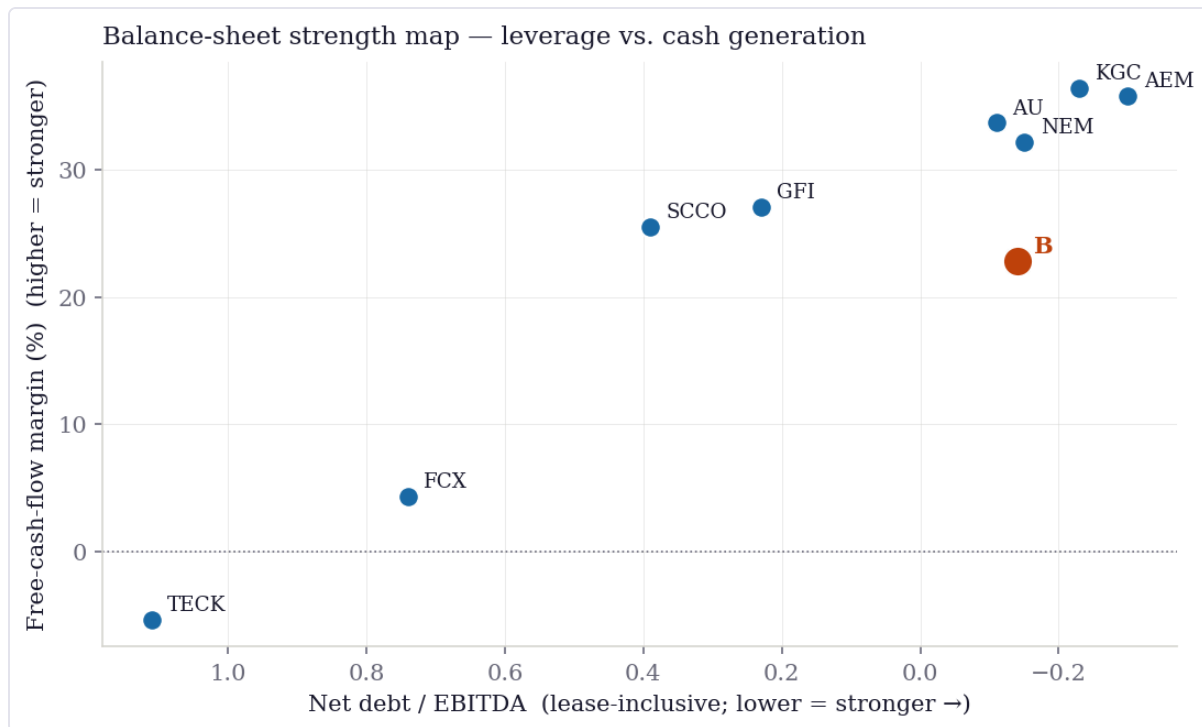


Fig. 10. Balance-sheet strength map — net debt/EBITDA (lease-inclusive) vs FCF margin; B highlighted.